the serious food and foreign exchange shortages.[87] By summer 1957, admitting that the situation was “grave,” the Indian government again decided to seek foreign assistance.[88] Indian finance minister Tiruvellore Thattai (T. T.) Krishnamachari reached out to Bunker, who suggested to Nehru that the Indian embassy in Washington also directly approach the State Department.[89]

Who Delivers Wins

The environment in the US was more conducive to aid for India. Studies emerging from Senate and House groups, as well as an administration commission in early 1957, had highlighted the importance of meeting the communist offensive through long-term planning for aid and soft-loan packages. During congressional hearings, advocates of aid from the business and academic realms had pointed to India’s progress. Highlighting the greater rate of development in Soviet-backed China, however, they had asserted that there was an urgent need for Washington to increase its assistance to India.[90]

Eisenhower and Dulles were on board the India train too. Discussing what came to be NSC 5701 in January 1957, Treasury Secretary Humphrey said it was “foolish” to revise South Asia policy at that stage. Disapproving of India’s public sector focus, he indicated that if Delhi wanted to turn to Moscow for aid, it should. Eisenhower disagreed strongly, told Humphrey to go read India’s five-year plan, and emphasized that the primary American goal was not the development of private enterprise but “saving India.” Moreover, if the US did not act soon, “we might just as well tear up all these policy papers on Asia.” At a subsequent NSC meeting, defense officials questioned the wisdom of aiding neutrals at the expense of allies, but Dulles reiterated the strategic rationale for strengthening India.[91]

The case for aid was strengthened by the Communist Party gains in India, particularly its victory in Kerala. The increase in communist vote share nationally from 5 percent in 1952 to 10 percent in 1957 in a country that Bowles had once confidently told Congress was “Communist proof” had raised alarm.[92] The Eisenhower administration saw it as a psychological win for the communist bloc with global repercussions. Moreover, the communists now had a respectable foothold in India from which they would try to expand.[93] And Indian officials like Washington-based Indian finance